

The haste with which the Centre is pushing ethanol cannot be ignored. Union Minister of Road Transport and Highways, Nitin Gadkari, recently warned there is no future for petrol and diesel vehicles, nudging automakers to adopt alternatives such as biofuels.

“We are all for increasing biofuel content in the energy mix. That is a sure-shot way to make ourselves *atmanirbhar* and whether it comes through E25 or through a rapid shift to E85 and E100 (flex fuel), we are for it,” says Harshavardhan Chitale, CEO of Hero MotoCorp.

India’s clean mobility transition, say industry leaders, cannot depend on a single technology. By 2030, India’s car market is expected to swell to nearly six million annually. Even in the most optimistic scenario, EV penetration may reach only 20%. That will still leave nearly 4.8 million internal combustion engine cars. The country’s dependence on imported fossil fuels could deepen instead of easing. The International Energy Agency has already flagged India as a major driver of future fossil fuel demand growth, projecting that more than one-third of global oil demand growth could come from the country.

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ronment but also the economy. The current account deficit is going to go through the roof,” says Toyota Kirloskar Motor country head Vikram Gulati. “If you go electric, you are increasing the import bill for EV parts. That is going to reduce when indigenisation happens. But that is going to take some time,” he adds.



VIKRAM GULATI
COUNTRY HEAD FOR INDIA,
TOYOTA KIRLOSKAR MOTOR

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India’s ethanol blending programme has resulted in foreign exchange savings of about ₹1.59 lakh crore, reduction of 813 lakh metric tonnes of CO emissions, and substitution of 270 lakh metric tonnes of crude oil since 2014, according to government data.

Shailesh Chandra, MD & CEO of Tata Motors Passenger Vehicles, says the government and OEMs have always been working over the years to develop a roadmap for improving the ethanol mix. “We have always been supportive of this move and any further increase.”

CAUTION ON E25

While the details of the 2021 study on E20 remain elusive, discussions have already started on a similar testing for E25 on non-compliant

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